Accounting policies and approval matrix · in force for FY2026

ACCOUNTING POLICIES AND APPROVAL MATRIX
Adopted by the partners: January 15, 2024
Owner: Dana Whitfield, Controller

PURCHASING TO PAY
Vendor setup: new vendors and changes to a vendor’s bank account are entered by Accounts Payable and approved by the Controller in the vendor master before the first payment; a W-9 is required.
Payment approval: Accounts Payable prepares each payment run in the bank portal and the Controller approves it; the preparer of a payment cannot approve it.
Second approval: $100,000.00
Invoice approval: the project manager approves each vendor invoice against the job’s commitment before it is paid.

BILLING TO CASH
Pay application approval: each pay application is approved by the job’s project manager and by the Controller before it is sent to the owner.
Cash receipts: posted within one business day of the deposit and agreed to the bank.

PAYROLL
Rate changes: entered only from a personnel action form signed by the Director of Operations (field and estimating) or the Managing Director (office).
Payroll release: the Controller reviews the payroll register against the prior payroll and approves it before release.

THE CLOSE
Journal entry review threshold: $25,000.00
Journal entry review: manual journal entries over the threshold are reviewed and initialed by a second person before posting: the Controller for others’ entries and the Director of Operations for the Controller’s own.
Bank reconciliation due: 15 days after month end
Bank reconciliation review: prepared by the Project Accountant and reviewed, signed and dated by the Controller.

SYSTEM ACCESS
User access: the Controller assigns roles; no one may both set up vendors and approve payments, both edit the payroll master and process payroll, or both post and approve journal entries.